

Financial Accounting:

American Institute of certified public accountants
(AICPA)

Accounting is an art of recording, classifying and summarizing in a significant manner and in terms of money, transactions and events which are in ~~past~~ ~~at least~~ at least of a financial character and interpreting the result thereof.

Need of Accounting:

1. Systematic record of Business transactions → vouchers should be added
2. To ascertain the net results → profit / loss
3. To ascertain the financial position
 - Current Assets & liabilities
(वर्तमान)
 - Net profit / Net loss
 - Fixed Assets
 - Reserves → from last year profits
4. Communicating results → Interpretation the results
5. Protecting properties of Business → with proofs in a transparent way.
6. Meeting legal requirements → Bank loans, Audits, Tax payment

Branches of Accounting

1. Financial A/cing
2. Cost A/cing
3. Management A/cing

Objectives of Accounting:

1. Accurate information about financial activities.
2. ~~The~~ keep records. systematic manner.
3. profit and loss for performance of business
4. Ascertain financial position of Business
5. Financial information to internal users

Functions of Accounting:

1. Recording → cash journal, Purchase journal, sales Journal etc.
2. classifying → ledger
3. Summarizing → Useful ~~internal~~^{for} internal as well as external.
4. Analyzing
5. Interpreting → what has happened, why it is happened.
6. Communicating

Book keeping

Recording transactions in the Books of accounts, Journal A/c's, ledger A/c's, Preparing Trial Balance not only for recording but also interpreting.

Differences between Book keeping & A/cing:

Book keeping	Accounting
1) Process of Accounting, concern, recording transactions	1) Not only recording but also interpretation, identification, measurement, classifying, Analysis.
2) Limited scope with recording, classifying and summarizing of Business transactions.	2) Wide scope covers book keeping + Analysis and interpretation.
3) Restricted to clerical work.	3) All levels it has management, top level interpret, medium level record ^{interpret} , lower level prepare accounts.
4) Net results and financial position and scope extends upto preparation of final A/c's	4) Operating results and financial position of the business
5) Accounting results more useful	5) Accounting records for making useful for planning.

Advantages of Accounting:

1. It is very difficult for a businessman to remember all the transaction recording transaction will provide & furnish as and for required.
2. The Businessman can ascertain the income sales tax through accounting. It helps them to provide for taxation.
3. It provides the information about the financial position of an enterprise through various parties.
i.e; owners, creditors (creditors), investors, government, managers, research scholars, public and employees.
4. It provides the facility to comparative cases of the various aspects of the business such as profit sales, expenses etc. Comparisons can be made company wise or trade wise.

Limitations of Accounting:

1. It only provides information regarding income and expenditure assets & liability of the organization on a particular date.
2. It doesn't classify cost into direct & indirect, fixed and variable, controllable & uncontrollable, normal and abnormal cost etc.

3. It doesn't provide adequate information for fixation of selling prices of the product produced or services rendered by the business
4. It doesn't provide proper system of controlling through various elements of cost, i.e. material labour and expenses
5. It doesn't provide detailed information for each product job or operation.
6. It doesn't provide projections of future outcome, rejects and the like.
7. It cannot provide all information through users. It focuses on common information that are generally useful.
8. It is not able to prepare tender or quotations.

* Accounting concepts and conventions

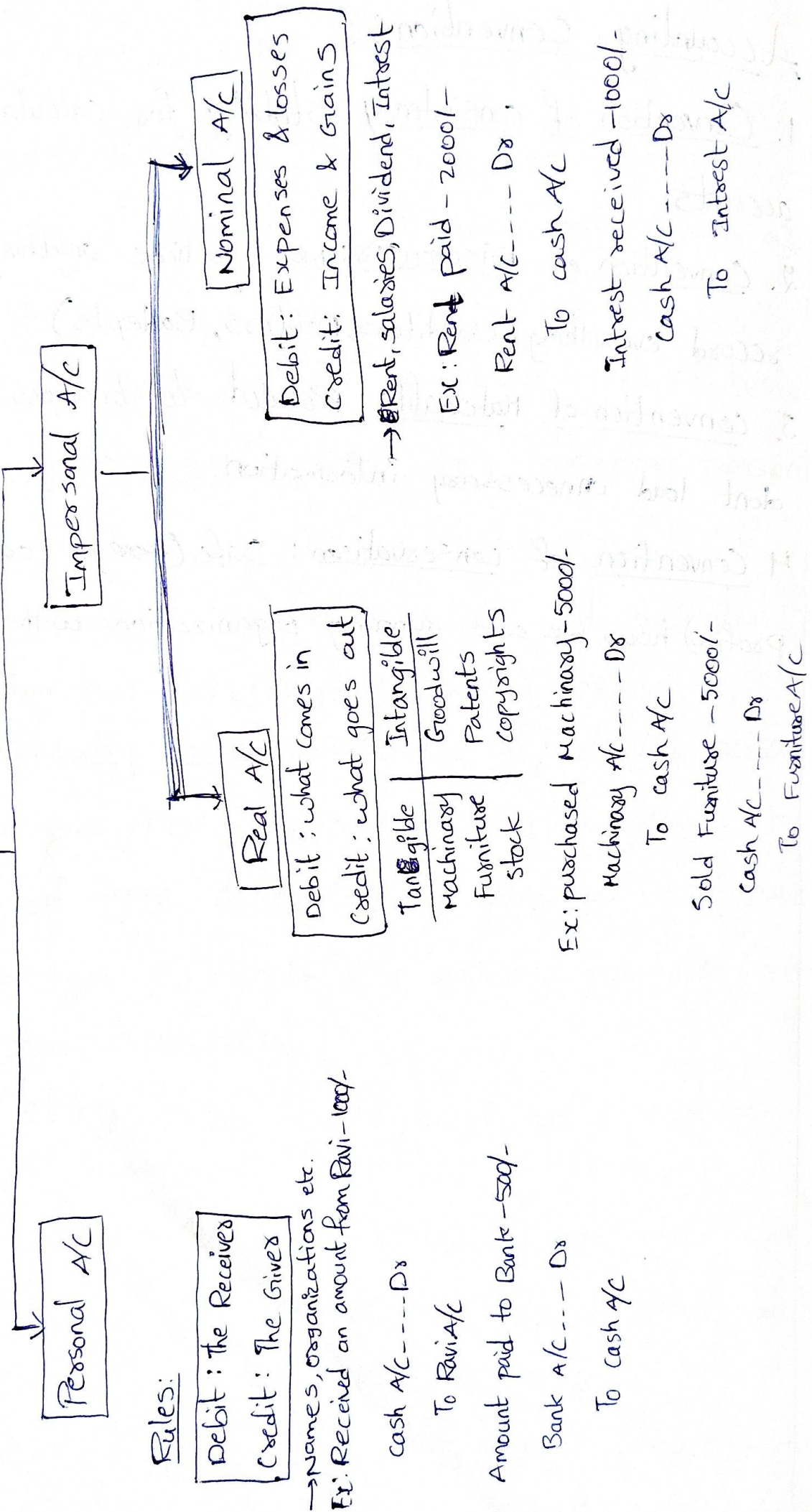
Accounting concepts:

1. Business entity concept: Business and owner are separate
2. Going concern concept: continuous run of business
3. Money measurement concept: Only monitoring transactions employee hardware etc not considered.
4. Cost concept: Purchasing, selling cost recorded when purchased (not present value)
5. Accounting period concept: For a particular period (one year either calendar year, accounting year)
6. Dual Aspect concept: Every transaction will have two types of aspects like machinery purchased (getting machinery, paying price)
7. Matching concept: Revenue, income and expenditure should be matched.
8. Realisation concept: Selling at the rate agreed ~~for~~ ^{not} ~~what~~ present rate (agreed rate considered not present rate)
9. Objective Evidence concept: vouchers, bills.
10. Accrual concept: Receivable, payable things and everything should be recorded, after one month liability etc.

Accounting Conventions:

1. Convention of consistency: stability for calculating accounts.
2. Convention of Disclosure: not to hide anything record everything (Creditors, Debtors, Bad debts)
3. Convention of Materiality: Related to business only, don't load unnecessary information.
4. Convention of conservatism: Safe (never go towards profits) how we are running organization with profits.

Classification of Accounts



Rules:

Debit: The Receiver
Credit: The Giver

→ Names, organizations etc.

Ex: Received an amount from Ravi - 1000/-

Cash A/c --- Dr

To Ravi A/c

Amount paid to Bank - 500/-

Bank A/c --- Dr

To Cash A/c

1. paid into Bank - 7000/-

2. ~~paid~~ Received from pinku an amount of 1450/-

(Sales
↓
Credit) 3. cash sales - 8000/-

4. Paid salary - 1000/-

(Purchase
↓
Debit) 5. purchased goods for cash - 3500/-

1.) Bank A/c ---- Dr
 To cash A/c

2.) Cash A/c ---- Dr
 To pinku A/c

3.) ~~sales~~ cash A/c ---- Dr
 To sales A/c

4.) Salary A/c --- Dr
 To cash A/c

5.) ~~sale~~ purchase A/c --- Dr
 To goods A/c

* Journalise the following transactions in the Books of Pradeep.

- 2015 April 1 Pradeep started business with cash ₹20000
 " " 3 paid into bank ₹70000.
 " " 5 cash sales 3000/-
 " " 7 Cash purchases 20000/-
 " " 12 paid salaries 15,000/-
 " " 15 paid rent 5000/-
 " " 25 closing stock on hand 2000/-

Ans Journal Entries in the Books of Pradeep

Date	Particulars	LF	Dr	Cr
2015 April 1	Cash A/c ---- Dr To Capital A/c (Being business started by Pradeep)		2,00,000	2,00,000 2,00,000
2015 April 3	Bank A/c ---- Dr To Cash A/c (Being ^{Cash} paid into Bank)		70,000	70,000
2015 April 5	Cash A/c ---- Dr To sales A/c (Being cash sales)		30,000	30,000
April 7	Purchases A/c ---- Dr To Cash A/c (Being cash purchases)		20,000	20,000
April 12	Salaries A/c ---- Dr To Cash A/c (Being salaries paid)		15,000	15,000
April 15	Rent A/c ---- Dr To Cash A/c (Being rent paid)		5000	5000

April 25	closing stock A/c - ... Dr	2000	
	To trading A/c (Being closing stock on hand)		2000
		3,42,000	3,42,000

* Journalise the following Transactions

- 2015 Jan 1 Rajini started business with a capital of 50000/-
- " " 2 she purchased furniture for 5000/-
- " " 3 she bought goods on credit from vinod for 8000/-
- " " 14 she sold goods to suresh ~~for~~ ^{for} 5000/-
- " " 15 she received cash from suresh ~~5000/-~~ ^{3000/-}
- " " 18 she purchased goods for cash 12000/-
- " " 25 she sold goods for cash 8000/-
- " " 28 she paid rent 1200/-
- " " 31 she paid vinod 3000/- on A/c

Total = 95,200

Ans Journal Entries in the Books of Rajini

Date	particulars	LF	Dr	Cr
2015 Jan 1	Cash A/c - --- Dr To capital A/c (Being business started by Rajini)		50,000	50,000
Jan 2	Furniture A/c - --- Dr To purchase ^{Cash} A/c (Being Furniture purchased)		5000	5000
Jan 3	purchase ^{Purchase} A/c - --- Dr To purchase ^{vinod} A/c (Being goods bought on credit)		8000	8000

Jan 14	Suresh A/c - - - - - Dr To sales A/c (Being goods sold to Suresh)	5000	5000
Jan 15	Cash A/c - - - - - Dr To Suresh A/c (Being received cash from Suresh)	3000	3000
Jan 18	Purchase A/c - - - - - Dr To cash A/c (Being goods purchased)	12,000	12,000
Jan 25	Cash A/c - - - - - Dr To sales A/c (Being goods sold)	8000	8000
Jan 28	Rent A/c - - - - - Dr To cash A/c (Being rent paid)	1200	1200
Jan 31	cash ^{vined} A/c - - - - - Dr To cash ^{cash} A/c (Being cash paid to vined)	3000	3000
		95,200	95,200

* Journalise the following transactions in the books of Suresh.

- 2014 Jul 1 commenced business with cash borrowed from vijaya bank 6000/-
 " " 8 Bought goods worth 4000/- from P. setty and paid cash 2500/-
 " " 13 Received an account payee cheque from ~~marath~~ ^{marath} -nath 1800/-
 " " 16 Goods worth 3200/- sold to Rajini and received cash of 2000/-
 " " 20 paid to marathesh 1400/- and received discount 100/-

- " " 25 sent money order Jayanth 1000/- and
 paid commission 50/-
 " " 27 Bank charges by bank 150/-
 " " 30 paid rent 800/- and salary ^{1500/-} by cheque

Journal Entries in the books of suresh

Date	particulars	LF	Dr	Cr
2014 Jul 1	Cash A/c ----- Dr To Capital A/c (Being Business started by suresh)		6000	6000
Jul 8	Purchases A/c ----- Dr To Cash A/c To P. Setty A/c (Being goods purchased by suresh)		4000	2500 1500
Jul 13	Bank A/c ----- Dr To Dwasakanath A/c (Being cheque received from Dwasakanath)		1800	1800
Jul 16	Cash A/c ----- Dr To Rajini A/c ----- Dr To Sales A/c (Being Goods sold to Rajini)		2000 1200	3000
Jul 20	Mahesh A/c ----- Dr To Cash A/c To Discount A/c (Being cash paid to Mahesh)		1500	1400 100
Jul 25	Jayanth A/c --- Dr To Commission A/c --- Dr To Cash A/c (Being money order sent to Jayanth)		1000 50	1050
Jul 27	Bank charges A/c --- Dr To Bank A/c (Being Bank charges by bank)		150	150
Jul 30	Rent A/c ----- Dr Salary A/c ----- Dr To Bank A/c (Being rent & salary paid by cheque)		800 1500	2300
			20,000	20,000

* Business started with cash Journalise the following.

- 2024 Feb 1 Business started with Cash 1,00,000/-
 " " 2 Machinery purchased 25000/-
 " " 2 Typewriters sold 5000/-
 " " 3 Goods purchased on credit from Ramana 20000/-
 " " 4 Goods sold to Anand 60,000/-
 " " 5 Loan taken from Hasilal 10,000/-
 " " 6 Goods return to ramana 2000/-
 " " 7 Goods returned by Anand 5000/-
 " " 8 Interest paid 5000/-
 " " 9 Computer purchased 10,000/-
 " " 10 Carriage paid 1000/-
 (Transportation)

Date	Particulars	LF	Dx	Cx
2024 Feb 1	Cash A/c --- Dx To capital A/c		1,00,000	1,00,000
Feb 2	Machinery A/c ---- Dx To purchases A/c		25,000	25,000
Feb 2	Sales A/c --- Dx To Typewriters A/c		5000	5000
Feb 3	purchases A/c ---- Dx To Ramana A/c		20,000	20,000
Feb 4	Anand A/c --- Dx To sales A/c		60,000	60,000
Feb 5	Cash A/c --- Dx To Hasilal A/c		10,000	10,000
Feb 6	Ramana A/c ---- Dx To purchase return A/c		2000	2000

	To Anand A/c		5000	5000
Feb 8	Interest A/c - - - Dr To cash A/c	5000		5000
Feb 9	Computer A/c - - - - Dr To purchases A/c	10,000		10,000
Feb 10	Carriage A/c - - - - Dr To Cash A/c	1000		1000
			2,43,000	2,43,000

* Journalise the following

- ~~May 1~~ May 1 Business started with cash 50,000/-
- May 4 Goods purchased for cash 11,000/-
- May 7 Goods purchased from Shankar 20,000/-
- May 9 Goods sold for cash 15,000/-
- May 16 Goods returned to Shankar 1500/-
- May 19 Cash paid to Shankar ~~18000/-~~ 8000/-
- May 20 Goods sold to Nani 7500/-
- May 24 Carriage paid 500/-
- May 26 Goods returned by Nani 1000/-
- May 30 Rent paid 2500/-
- May 31 Electricity charges paid 800/-

Date	Particulars	LF	Dr (₹)	Cr (₹)
2024 May 1	cash A/c --- Dr To capital A/c		50000	50000
May 4	purchases A/c ---- Dr To cash A/c		11000	11000
May 7	purchases A/c ---- Dr To shankar A/c		20000	20000
May 9	cash A/c ---- Dr To sales A/c		15000	15000
May 16	shankar A/c --- Dr To purchases return A/c		1500	1500
May 19	cash shankar A/c ---- Dr To shankar cash A/c		8000	8000
May 20	Nani A/c ---- Dr To sales A/c		7500	7500
May 24	Carriage A/c ---- Dr To cash A/c		500	500
May 26	Sales return A/c --- Dr To Nani A/c		1000	1000
May 30	Rent A/c ---- Dr To cash A/c		2500	2500
May 31	Electricity charges A/c ---- Dr To cash A/c		800	800
			1,17,800	1,17,800

* Ledger:

A ledger is a process in which all accounts are maintained for each and every aspect. A separate ledger account is to be opened. After journalising the next process is preparing of ledger account.

Ledger will be in the form of 'T-shape'. Left side is denoted as 'Dr' and right side it is denoted as 'Cr'. While recording on the debit side we should use the word 'To'. And while recording on credit side we should use the word 'By'.

If any specific account is prepared, For example cash A/c. If it is in the debit, it is recorded on the debit side and if it is in credit, it is recorded on the credit side, But we should write the opposite item in the concern account. Instead of name of specific account.

Finally, all the accounts are balanced to find out the balances carried down (C/d) ^{with last date of month.} Next write Balance brought down (b/d) in opposite side with Date of 1st of ^{next} month.

* From the following prepare necessary ledger A/cs.

NOV 1 2015 kumar started business from capital of

1,00,000/-

" 5 Goods sold to hari 20,000/-

" 8 Goods purchased by hari 15,000/-

" 12 Goods sales 18,000/-

" 15 cash paid into Bank 10,000/-

" 18 Goods returned to Hari 2000/-

" 20 Rent paid 5000/-

" 25 Salaries paid 10,000/-

" 30 cash collected from hari 5000/-

Date	Particulars	L.F	Dr ₹	Cr ₹
2015 NOV 1	Cash A/c --- Dr To Capital A/c (Being business started with 1,00,000)		100000	100000
NOV 5	Hari A/c --- Dr To Sales A/c (Being goods sold to hari)		20000	20000
NOV 8	Purchases A/c --- Dr To Hari A/c (Being goods purchased by hari)		15000	15000
NOV 12	Cash A/c --- Dr To Sales A/c (Being goods sold)		18000	18000
NOV 15	Bank A/c --- Dr To Cash A/c (Being cash paid into bank)		10000	10000
NOV 18	Sales returns A/c --- Dr To Hari A/c (Being goods returned to hari)		2000	2000

NOV 20	Rent A/c - - - - Dr	5000	
	To Cash A/c (Being rent paid)		5000
NOV 25	Salaries A/c - - - - Dr	10000	
	To Cash A/c (Being salaries paid)		10000
NOV 30	Cash A/c - - - - Dr	5000	
	To Hazi A/c (Being cash collected from hazi)		5000
		1,85,000	1,85,000

Dr			Cash A/c		Cr		
Date	Particulars	L.F	Amount	Date	Particulars	L.F	Amount
NOV 1	To Capital A/c		1,00,000	NOV 15	By Bank A/c		10000
NOV 12	To sales A/c		18000	NOV 20	By Rent A/c		5000
NOV 30	To Hazi A/c		5000	NOV 25	By salaries A/c		10000
				NOV 30	By balances c/d		98,000
			<u>1,23,000</u>				<u>1,23,000</u>
Dec 1	To Balances b/d		98,000				

Dr			Hazi A/c		Cr		
Date	Particulars	L.F	Amount	Date	Particulars	L.F	Amount
Nov 5	To sales A/c		20000	Nov 8	By purchases A/c		15000
				Nov 18	By sales returns A/c		2000
				Nov 30	By cash A/c		5000
	To Balance c/d		2000				
			<u>22,000</u>				<u>22,000</u>
				Dec 1	By Balance b/d		2000

Sales A/C							
Dr						Cr	
Date	Particulars	L.F	Amount	Date	Particulars	L.F	Amount
				NOV 5	By Hurn A/C		20000
				NOV 12	By cash A/C		18000
NOV 30	To Balance c/d		38,000				
			38,000				38,000
				Dec 1	By Balance b/d		38,000

Bank A/C							
Dr						Cr	
Date	Particulars	L.F	Amount	Date	Particulars	L.F	Amount
NOV 15	To cash A/C		10000				
				NOV 30	By Balance c/d		10,000
			10,000				10,000
Dec 1	To balance b/d		10,000				
Dec 1	To balance b/d		10,000				

* Journalise the following transactions along with ledger:

- ~~2024 Jan~~ 2007 Apr 1 Goods purchased from Amitabh 52,000
- " " 3 Carriage paid 500/-
- " " 9 Goods sold to Abhishek 65,000/-
- " " 15 Goods return to Amitabh 2000/-
- " " 20 Goods return by Abhishek 5000/-
- " " 25 Cash paid to Amitabh ^{49,500} by receiving discount of 500/-
- " " 30 Cash received from Abhishek ^{59,000} after allowing discount 1000/-
- " " 30 Salary paid 15,000/-

Date	Particulars	LF	Dx(₹)	Cx(₹)
2007 Apr 1	purchases A/c - - - - Dx To Amitabh A/c		52,000	52,000
Apr 3	Carriage A/c - - - - Dx To cash A/c		500/-	500/-
Apr 9	Abhishek A/c - - - - Dx To sales A/c		65,000	65,000
Apr 15	Amitabh A/c - - - - Dx To purchase returns A/c		2000	2000
Apr 20	Sales return A/c - - - - Dx To Abhishek A/c		5000	5000
Apr 25	Amitabh A/c - - - - Dx To Cash A/c To Discount A/c		50000 50000	49500 500
Apr 30	Cash A/c - - - - Dx To discount A/c - - - - Dx To Abhishek A/c		59000 1000	60,000
Apr 30	Salaries A/c - - - - Dx To cash A/c		15,000	15000
			2,49,500	2,49,500

Dr		Cash A/c		Cr		
Date		LF	Amount	Date	LF	Amount
Apr 30	To Abhishek A/c		59,000	3	By carriage	500
				Apr 25	By Amitabh A/c	49,500
				Apr 31	By salary A/c	15,000
Apr 30	By Balance c/d		6000			
						65,000
			65,000			
				May 1	By balance b/d	6000

Dr			Abhishek A/C			Cr		
Date		L.F.	Amount	Date		L.F.	Amount	
Apr 9	To Abhishek Sales A/C		65,000	Apr 20	By Sales return A/C		5000	
				Apr 30	By cash A/C		59,000	
					By Discount A/C		1000	
			65,000				65,000	

Dr			Amitabh A/C			Cr		
Date		L.F.	Amount	Date		L.F.	Amount	
Apr 15	To purchase returns A/C		2000	Apr 1	By purchases A/C		52,000	
Apr 25	To cash A/C		49,500					
	To Discount A/C		500					
			52,000				52,000	

*Enter the following Transactions in the journal and post them in ledger

2012 Jan 1 Bought goods for 15000/-

" " 5 sold goods to Basanti on credit 10,000/-

" " 8 purchased furniture for cash 5000/-

" " 15 paid into bank 7000/-

" " 18 Received cash from madan 750/- and allowed discount 50/-

" " 25 purchased machinery for cash 16000/-

Date	Particulars	L.F.	Dr (₹)	Cr (₹)
2012 Jan 1	purchases A/c ----- Dr To cash A/c (Being goods purchased/bought)		15000	15000
Jan 5	Basanti A/c ----- Dr To credit sales A/c (Being goods sold to Basanti on credit)		10000	10000
Jan 8	purchase furniture A/c --- Dr To cash A/c (Being furniture purchased)		5000	5000
Jan 15	Bank cash A/c ----- Dr To Bank cash A/c (Being cash paid into Bank)		7000	7000
Jan 18	cash A/c ----- Dr Discount A/c ----- Dr To madan A/c (Being cash received from madan allowing discount)		750 50	800
Jan 25	purchase machinery A/c ----- Dr To cash A/c (Being machinery purchased for cash)		16000	16000
			53,800	53,800

Dr		cash A/c		Cr			
Date	Particulars	L.F	Amount	Date	Particulars	L.F	Amount
Jan 15	To Bank A/c		7000	Jan 1	By purchases A/c		15000
Jan 18	To madan A/c		800	Jan 8	By ^{furniture} purchases A/c		5000
				Jan 25	By ^{machinery} purchases A/c		16000
Jan 31	To Balance c/d		28,200	15	By Bank A/c		7000
			438,000				438,000
				Feb 1	By Balance b/d		28,200

Dr

purchases A/c

Cr

Date	Particulars	LF	Amount	Date	particulars	LF	Amount
Jan 1	To cash A/c		15000				
Jan 8	To cash A/c		5000				
Jan 25	To cash A/c		16000				
				Jan 31	By Balance c/d		36,000
			36,000				36,000
Feb 1	To Balance b/d		36,000				

Dr

Basanti A/c

Cr

Date	Particulars	LF	Amount	Date	Particulars	LF	Amount
Jan 5	To credit sales A/c		10,000				
				Jan 30	By Balance c/d		10,000
			10,000				10,000
Feb 1	To Balance b/d		10,000				